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8. **Link:** A wholesaler serves as a useful intermediary between the producers and retailers.

### Services to Retailers

1. **Financial Assistance:** Wholesalers provide financial assistance to retailers by selling goods on credit. This is done by allowing credit to retailers purchasing goods from them and makes payment to them after receiving money from their customers. This helps retailers to manage their business with small amount of working capital.
2. **Meeting the Requirements:** Due to limited capital and lack of space in his facility a retailer cannot hold large variety of products. The wholesaler removes this difficulty by selling goods as and when the retailer requires.
3. **Introduction of New Products:** Wholesalers bring new products and their uses to the notice of retailers. Thus retailers get knowledge about innovated products and innovated features.
4. **Price Stability:** Wholesalers reduce price fluctuations by adjusting supply and demand and save the retailers from loss arising from price fluctuations.
5. **Economy in Transport:** A wholesaler often delivers goods at the door steps of retailers and save their time and cost of transport.
6. **Regular Supply:** Wholesalers keep large stock of varieties of goods and provide a regular supply of goods as per the retailer's need. Retailers can purchase as much as they like, from time to time and need not maintain a large stock of goods.

## D. Types of Wholesalers

### 1. Manufacturer wholesaler

Manufacturer wholesaler undertakes manufacturing of goods in addition to wholesale business. He sells not only the goods manufactured by him on wholesale business, but also goods manufactured by other producers.

### 2. Retail Wholesaler

This type of wholesaler carries on both wholesale and retail trade. He purchases goods in bulk from manufacturers and sells them directly to consumers through his own retail outlets.

***Ex.*** *Super Bazaar.*

### 3. Merchant Wholesaler.

A merchant wholesaler neither manufactures goods nor sells them directly consumers. He is the 'wholesaler proper' or 'pure wholesaler'. He buys goods in bulk from manufacturers and sells them in small lots to retailers. Merchant wholesalers can be further classified into three categories on the basis of degree of specialisation.

a) General merchandise wholesalers.
b) Single line wholesalers
c) Speciality wholesalers

a. **General Merchandise Wholesalers**: This type of wholesaler deals in a wide range of goods such as groceries, electrical equipment, medicines, cloth etc. The importance of this type of wholesaler has heightened due to increasing specialisation in trade.

b. **Single Line Wholesalers:** This type of wholesaler deals in only one line of